

who then have something to argue about. It typically remains only briefly in the family's hands. It is soon in the pockets of yacht merchants, ex-wives, investment hustlers, wealth managers, lawyers, and other predators.

What makes wealth ideal for family fortunes makes it awkward and inconvenient for other purposes. If you are saving money for a house or a retirement, it needs to be liquid. You need to be able to get to it when you want it.

Family money is generally better when wealth managers, yacht salesmen, and family members can't get to it.

Few people can tolerate an investment that grows, even at 10 percent per year, for a very long time. They want the money now. They have spending plans. They may even need the money for very legitimate and worthwhile purposes. Education. Health care. Weddings. Funerals.

Costs rise to fill the budgets available to them. That is true in government agencies. It is true in business. It is true in families. Make money available. It is soon consumed by spending that has been "necessary and appropriate."

FINANCIAL ESCAPE VELOCITY

It is not enough to make a lot of money. You'll find that your spending keeps up with your income. There is some universal—or near-universal—law that decrees:

Expenses rise to meet the available income.

So no matter how much you earn, you'll have little left over at the end of the day. You won't be the first to observe this phenomenon. You won't be the last, either.

But what's the solution?

Wants and needs rise to meet the income available to them; that is a financial law as rigorously enforced as the law of diminishing returns or the law of supply and demand. That's why it's so hard to be rich and get rich at the same time.